

Creating a high level plan essentially needs the following mandatory inputs:

1. Start Point (your current net worth) (calculated in Step 2)
2. End Point (amount of money needed to become financially free i.e. your target net worth)
3. Speed of Journey (Average Saving Potential – calculated in Step 1)
4. Time to reach from the starting point to the end point (calculated based on above 3 points)

Let us look at each of these steps in detail.

Start Point

This is the amount of money that you start with to move towards your journey on financial freedom.

We just did an exercise in Step 2 to determine our net worth. That is precisely what our starting point is. The higher your net worth the better is your start.

Do not get de-motivated in case you are starting with a low net worth or even starting from scratch. There are many more important factors that determine how fast you can achieve your goals. But yes, having a high net worth to start with is definitely a positive start.

End Point and Time to Reach Financial Freedom

End Point is the amount of money (nest egg) that you need to end up with, which can trigger your independence and will also help you sustain your nest egg for the rest of your life and continue to provide you with enough money every month covering all your expenses, inflation and taxes.

Duration / Time is the months / years you would need to reach your end point or target corpus.